الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ACC302

Auditing Theory and Practice

MTA

2025-2026 / Summer Semester

3 – August – 2026

Version C

Number of Exam Pages: 2 (including this cover sheet)	**Time Allowed: 1.5 Hours**

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except graphs/sketches
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
- Students are allowed to use ***non-programmable*** calculators only (if needed).
- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL THREE OF THE FOLLOWING QUESTIONS

Question 1: (34 marks)

A company is applying for a bank loan and must provide reliable financial and performance information. Management prepares a report and asks a CPA to give independent assurance on this information.

Based on this situation, what are attestation services as a type of assurance service provided by CPAs?

Question 2: (33 marks)

A public hospital prepares annual financial statements, receives government funding, and wants to improve its internal operations. To meet these needs, it hires an external audit firm to review its financial reports, assigns its internal audit team to examine internal controls and efficiency, and is also reviewed by government auditors for compliance with regulations.

Based on this case, identify the different types of auditors involved and explain how the responsibilities of each type of auditor differ according to the purpose of the audit.

Question 3: (33 marks)

A public accounting firm has completed the audit of ABC Company's financial statements for the year ended 31 December 2025. The auditors found no material misstatements and concluded that the financial statements are fairly presented in accordance with the applicable financial reporting framework. As a result, they decide to issue a standard unmodified audit report.

Based on this case:

1. List the eight key parts of the auditor's standard unmodified opinion report. (8 marks)
2. Briefly explain any five of these parts and their purpose in communicating the audit results to users of the financial statements. (25 marks)

End of Questions

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